

Atlas Trade Provisions LLC

Lease Portfolio — agreement summaries and December modification memo (ASC 842)

L1. Warehouse Building — Operating lease

Commencement	2021/01
Term	120 months
Monthly payment	\$9,414
Discount rate	6.5% per annum
Classification	Operating
Premises	Charleston, SC distribution warehouse — ambient & refrigerated zones
Renewal	Two 5-year renewal options; not reasonably certain at commencement
Rate basis	Incremental borrowing rate (implicit rate not readily determinable)

L2. Cold-Storage Equipment — Finance lease

Commencement	2023/10
Term	48 months
Monthly payment	\$11,494
Discount rate	7.0% per annum
Classification	Finance
Equipment	Cold-storage refrigeration package — compressor racks and controls
End-of-term	Bargain purchase option; title expected to transfer
Rate basis	Rate implicit in the lease (determinable per discount-rate memorandum)

L3. Delivery Fleet — Operating lease

Commencement	2022/04
Term	60 months
Monthly payment	\$10,813

Discount rate	6.8% per annum
Classification	Operating
Equipment	Refrigerated delivery fleet — trucks and vans
Renewal	Month-to-month after term; not reasonably certain
Rate basis	Incremental borrowing rate

Lease Modification Memorandum

Cold-storage equipment lease (L2) — December 2024

Modification terms

Effective December 2024, the cold-storage equipment lease (L2) was amended to extend the remaining term and adjust the monthly payment to reflect additional refrigeration capacity placed under the same master agreement.

Nature of change	Term extension and payment increase under the existing master lease
Accounting	Remeasure the lease liability using a revised discount rate at the modification date; adjust the ROU asset by the same amount (no separate new lease).
Rate reassessment	The discount rate is reassessed at the modification date per the discount-rate memorandum.
Effect	The remeasurement is recorded as part of the December close; the revised schedule governs subsequent periods.

The pre-modification amortization schedule and the modification terms together provide the basis for the December remeasurement. Figures for the remeasurement are determined as part of the close.